AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XI

ANNUAL EXAMINATIONS (THEORY) 2023

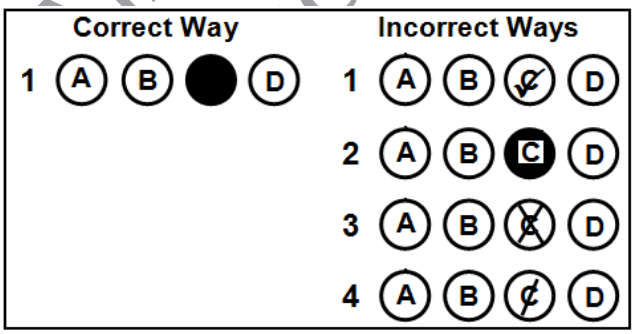
Principles of Commerce Paper I

Time: 1 hour 10 minutes Marks: 40

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 40 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a scientific calculator if you wish.

1. Following image is displayed on the menu of a restaurant for the customers.



The displayed image will allow customers to pay through all of the following cards at point of sale (POS) EXCEPT

A. ATM card.
B. credit card.
C. debit card.
D. prepaid card (loyalty card).

2. All of the following are classified as economic activities EXCEPT a person

A. mending shoes in a public place.
B. painting street walls.
C. playing a football league.
D. reading a book in his leisure time.

3. The given image shows an economic activity.



With reference to the ownership, the given economic activity is an example of

A. cooperative societies.
B. private sector.
C. public sector.
D. public private partnership.

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4. Essential qualities of a good businessman are that he/ she should be

   A. opportunist and self-centred.
   B. philosophical and calm.
   C. risk-taker and foresighted.
   D. sympathetic and courteous.

5. 'Profitability' is an important feature of any business and it is primarily considered at the time of its formation.

   With reference to the given statement, which of the following describes the term 'Profit'?

   A. The increase in selling price of a product.
   B. Difference between selling price and cost price.
   C. The amount of money spent on advertising the goods.
   D. Difference between selling price and operating expenses.

6. The legal regime for the establishment and regulation of partnership business in Pakistan is pre-defined in the partnership act of

   A. 1932
   B. 1973
   C. 1985
   D. 2017

7. The MAJOR merit of a cooperative society is

   A. limited capital.
   B. limited liability.
   C. lack of loyalty.
   D. lack of incentive and initiative.

8. Alishba is given a classroom assignment by her teacher. She has to draw a comparative analysis of the structure of two companies. The following information is required for her assignment:

   - Accounts of the company
   - Procedure of depreciation
   - Information about share capital
   - Powers and salaries of the directors
   - Details of auditors and procedure of appointing

   Alishba can access the given information through the

   A. articles of the association (AoA).
   B. certificate of registration.
   C. memorandum of the association (MoA).
   D. prospectus of the company.

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9. Alpha Company has invited shares applications for 10,000 ordinary shares of Rs.10 @ Rs.12 from the general public.

The offered share price in the given situation will be classified as

A. book value.
B. market value.
C. par value.
D. scrap value.

10. Al-Rehmat Welfare Trust was established under the Public Trust Registration Act with an objective of serving the underprivileged citizens.

The given trust is categorised as

A. multi-purpose cooperative society (MCS).
B. multinational company (MNC).
C. non-government organisation (NGO).
D. non-profit organisation (NPO).

11. Read the following table for a form of business:

Merits	Demerits
Easy formation	Limited resources
Single taxation	Limited business life
Quick (on-spot) decision making	Unlimited liability
Easy dissolution	Limited scale of business and expertise

The given merits and demerits BEST refer to

A. company.
B. cooperative company.
C. partnership.
D. sole proprietorship.

12. An individual is planning to initiate his own business who has

- little amount of investment.
- awareness of the market.
- confidence on his innovative idea.

The MOST suitable form of business that the individual can opt for is

A. cooperation (cooperative).
B. partnership.
C. private company.
D. sole proprietorship.

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13. As per Companies Act 2017, the minimum number of directors in private and public unlisted company should be

	Private Company	Public Unlisted Company
A	02	03
B	02	07
C	03	03
D	03	07

14. Read the given features:

- records are located near the staff that creates and uses them.
- does not require any specific space for record keeping.
- does not require a full-time staff.
- staffing feels more comfortable knowing that they are in control of their own filing and retrieving.

All of the given features are the merits of

A. centralised filing.
B. decentralised filing.
C. horizontal filing.
D. vertical filing.

15. The number of subordinates in span of control of a business organisation depends upon

A. organisational aims and objectives.
B. time taken on each task.
C. work compensation and environment.
D. work complexity and variability.

16. The reference number, name and particulars of the customer are mentioned on the top edge of the cards, using uniform card sizes.

The given description of an index system is about

A. wheel or rotary index.
B. staggered index.
C. strike/ strip index.
D. vertical strip index.

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17. A business organisational structure attempts to disrupt the traditional top-down management system. Management is decentralised so there is no everyday "boss." Employees are the boss of themselves, eliminating bureaucracy and red tape which results in improving direct communication.

The business organisational structure referred in the given description is known as

A. divisional organisational structure.
B. flat organisational structure.
C. functional organisational structure.
D. matrix organisational structure.

18. Raja Sports issued an invoice to Athens Sports on receiving an order for sports goods. The invoice was issued in good faith and cannot be changed. This invoice had details of deliverables with the round estimation of all possible fees, taxes payables, commissions to be paid and an estimate shipping cost with a precise sales price to each product unit.

The invoice issued in the given scenario is

A. consular.
B. credit.
C. debit.
D. proforma.

19. Which of the following is distributed through direct marketing?

A. Automobiles
B. Cosmetics
C. Designer outfits
D. Pharmaceutical products

20. Middleman in the channel of distribution includes

A. manufacturer, distributer and consumer.
B. manufacturer and wholesaler.
C. retailer and consumer.
D. sales agents wholesaler and retailer.

21. With reference to channel of distribution, all of the following forms of businesses are classified as the middlemen EXCEPT

A. United Bakers are the largest seller of sweets and nimco.
B. Sindh Motors are authorized distributors of Atlas Honda for the city.
C. Daraz established its own outlets which offer variety of consumer products.
D. Aman Estate Agency facilitates leasing, mortgaging, purchasing and sales of real estate property.

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22. All of the following are the services that a retailer provides to its customers EXCEPT

A. credit sales.
B. guaranteed constant supply of goods.
C. product related information.
D. variety of products.

23. Initially smart phones were launched with a very high price which made it difficult to have access to the masses. After the initial period, many Chinese based companies launched mobiles with similar features in a very reasonable price. Nowadays, it is easily accessible to majority of the people.

If a new firm brings a better version of an already existing products technology, then the pricing strategy of the new firm would be

A. cost plus.
B. penetration.
C. promotional.
D. skimming.

24. All of the following are considered as 4Ps of marketing mix EXCEPT

A. place.
B. price.
C. product.
D. publicity.

25. The given advertisement is BEST classified as



A. collective.
B. competitive.
C. informative.
D. persuasive.

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26. The MOST appropriate channel of distribution for a motor vehicle would be

A. producer ------- consumer
B. producer ------- distributor ---------- retailer -------- consumer
C. producer ------- sales agent ---------- consumer
D. producer ------- wholesaler ---------- retailer -------- consumer

27. Recently, the market for CD (compact discs) has reduced and the sales' volume of the businesses associated with it has also fallen down due to the introduction of USB (universal secure bus) drives and SD (secure digital) memory cards.

The phase of product life cycle referred in the given scenario is known as

A. decline phase.
B. growth phase.
C. introduction phase.
D. maturity phase.

28. Al-Chemist Pharmaceutical Company prepared an anti-denim dose for venomous snake bites. The drugs have a short shelf life. Therefore, the dose is prepared and delivered across the globe on request.

In the given scenario, the MOST suitable mode of transportation will be

A. seaways.
B. airways.
C. railways.
D. roadways.

29. The term used for interest in Islamic Financing is

A. *riba.*
B. *rabulmal.*
C. *takaful.*
D. *mudarbaha.*

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Use the given information to answer Q.30 and Q.31.

The following details were extracted from the books of Al-Basit.

Balance sheet			
Assets		**Equities**	
Cash	120,000	Bank overdraft	5,000
Bank	560,000	Bank loan	125,000
Account receivable	80,000	Account payable	25,000
Stock	50,000	Notes payable	50,000
Supplies	25,000	Bank loan	350,000
Total Current Assets	**835,000**	**Total Liability**	**555,000**
Furniture	250,000		
Provision for depreciation	25,000	Capital	1,705,000
Building	750,000	Drawing	25000
Motor vehicle	350,000	Additional investment	75000
Provision for depreciation	150,000		
Total Fixed Assets	**1,525,000**	**Total Equity**	**1,755,000**
Total Assets	**2,360,000**	**Total Equity**	**2,360,000**

30. The working capital of the firm based on the given details is

A. Rs 230,000
B. Rs 280,000
C. Rs 485,000
D. Rs 630,000

31. The equity to assets ratio of the firm based on the given details is

A. 0.868
B. 0.743
C. 0.664
D. 0.646

32. The wall of the building damaged due to fire but fell due to storm before it could be repaired which damaged an adjoining building. The owner of the adjoining building claimed the loss under the fire policy.

In this case, the court ruled that the claim will be granted under the fire policy.

The principle of insurance applied in the given scenario is

A. contribution.
B. insurable interest.
C. proximate cause.
D. utmost good faith.

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33. Two cars collided with each other due to fog. One was insured while the other was not. The uninsured car owner filed a claim that his loss should be fulfilled by the owner of the insured car as he was hit by the insured car.

The court overruled the claim and the insurance company would only pay the amount of the damages to the insured car.

The judgement of overruling the claim is in accordance to the principle of

A. liability.
B. insurable interest.
C. proximate cause.
D. fidelity.

34. Due to fire, a wall of a building was damaged. The municipal authority ordered it to be demolished. While demolition, the adjoin building was damaged. The owner of the adjoining building claimed loss under the fire policy.

The court held that the fire is the nearest cause of loss to the adjoining building and the claim is payable in the given case as it was an unavoidable result of the fire.

The payment was made to the party under the principle of

A. indemnity.
B. utmost good-faith.
C. proximate cause.
D. subrogation.

35. Al-Mehran Company is planning to introduce a new product in the market but due to rapid changes in consumers' taste, there is a chance that the product may fail.

The kind of risk depicted in the given situation is

A. credit risk.
B. controllable risk.
C. uncontrollable risk.
D. semi controllable risk.

36. Mr Ali went for a holiday trip with his family to Lahore. The local hotel in Lahore did not provide satisfactory services to his family. The behaviour of staff and quality of food was not satisfactory.

In order to bring this in the knowledge of the management, Ali will write a/ an

A. order letter.
B. collection letter.
C. complaint letter.
D. inquiry letter.

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37. All of the following are considered as 7Cs of effective communication EXCEPT

A. comparison.
B. completeness.
C. conciseness.
D. concreteness.

38. The term 'cc' in a business e-mail stands for

A. carbon copy.
B. common copy.
C. compound copy.
D. customer copy.

39. The common purpose of business memorandum is to

A. remind debtors for their overdue payments.
B. assist the clients to follow a certain procedure.
C. inform customers and clients about the changes in operational rules.
D. inform the members about an organisation's change in policy or working procedures.

40. Read the following features:

- It uses full-block form and open punctuation.
- No salutation or complimentary close is used.
- Reader's name, is used in the first and last sentences.

The given features are used for

A. AMS (Administrative Management Society).
B. hanging paragraph (traditional style).
C. modified block style.
D. semi-indented style.

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END OF PAPER

Please use this page for rough work

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